S03-E — Week 3 Synthesis: The Work in Layers, From Medium to Tax

Summary

Week three covered five entries that, taken separately, seem to address different subjects, a work's physical medium, its provenance, the consignment contract, the sales channel, and the fiscal fine print. Taken together, they describe the successive layers surrounding any work between the moment a client considers it and the moment it actually changes hands. This note does not repeat the five lessons paragraph by paragraph, it arranges them as concentric layers, from the most physical to the most administrative, so it can serve as a review map ahead of the exam.

1. The physical layer: medium and condition

The first layer is the most literal one, what exactly is the object under consideration. Within the work of a single artist, the medium, a unique oil, a unique work on paper, or a multiple edition, sets a ceiling and a floor on price before any other question comes up, because the absolute scarcity of a one-of-a-kind piece is not the relative scarcity of a numbered print, even when it shares a signature and an image with it. Phillips' Editions and Works on Paper sale of the twenty fourth of June, 2026, totaled USD 1,444,026, with eighty nine percent of the lots placed and ninety seven percent of the value sold, evidence that the category functions with commercial normality despite operating at a price range far below that of a unique piece.[1] On top of that same physical layer sits the condition report, the document recording the conservation state a specialist observed in a specific examination, without that amounting to a guarantee of authenticity or a substitute for a personal inspection when the value of the transaction warrants one.

2. The documentary layer: provenance and authenticity

Once the physical object has been identified, the second layer asks whether it is what it claims to be and who can prove it. Provenance, the record of every change of owner and every public appearance of a work, simultaneously underpins confidence in its authenticity and the legal title of whoever owns it today. For the artists with the greatest commercial weight, the catalogue raisonné serves as an additional reference authority, compiled by specialists tied to the artist's estate. The case that best illustrates the risk in this layer is the April 2024 dispute at the SP-Arte fair in São Paulo, when the founder of a rival auction house publicly questioned the authenticity of a painting attributed to Tarsila do Amaral, offered privately for around USD 3.2 million, without having examined it up close.[2] The episode was not settled by either interested party's word alone, and shows that the higher an artist's benchmark price climbs, the greater both the incentive to pass off a doubtful piece as genuine and the incentive to publicly question a legitimate one out of one's own commercial interest.

3. The contractual layer: consignment

Once doubts about what the work is and where it came from are cleared, the third layer organizes how the economic risk of selling it gets divided. The consignment contract sets a reserve, the minimum price below which the piece does not sell, and a commission on whatever result is achieved. Sotheby's is the only one of the three majors that publishes a standard commission rate, ten percent of the hammer price with a five hundred dollar minimum and an additional two percent success fee above the high estimate, while Christie's and Phillips negotiate it case by case.[3] When the house wants to guarantee the consignor a share of that risk in advance, it offers a guarantee, which it can either assume itself (a house guarantee) or share with an outside third party through an irrevocable bid (a third-party guarantee). In May 2026, Matisse's La Séance du matin and Warhol's Flowers, Six Works, both went up marked as Guaranteed Property with Irrevocable Bids, in an evening sale and a day sale respectively, proof that neither mechanism turns the auction into a sale already closed in advance.[4]

4. The channel layer: public auction or private sale

The fourth layer decides through which door the work reaches the market. David Schrader, Sotheby's head of private sales, described his team's work as sourcing done to order, a precise brief on artist, series, year, size, and color run through an internal network of relationship managers, with discretion tailored to each client.[5] Advisor Patti Wong holds that a public auction builds value when there's a wide universe of plausible buyers capable of competing against each other, and that it's worth reconsidering for works with only a handful of possible buyers worldwide.[6] Neither channel replaces an independent professional appraisal, distinct from the estimate set by the very house that stands to earn a commission on the result.

5. The final layer: taxes, logistics, and art as an asset

The last layer shows up after the price is agreed, and tends to stay out of the commercial conversation until it causes a problem. New York applies a destination rule for its sales tax, the place where delivery is documented decides the tax obligation, with a combined rate of 8.875 percent within the city, which on a hundred thousand dollar purchase delivered in Manhattan works out to eight thousand eight hundred seventy five dollars in tax.[7] Freeports offer legitimate storage under customs control, but they don't automatically make any transaction tax-free, and the work's subsequent use determines the tax treatment. On art as a financial asset, collection-backed lending reached between USD 33.9 billion and USD 40 billion by the end of 2025, while the Artnet Fine Art Top 100 index returned just 3.2 percent annually over twenty years against the S&P 500's 10.4 percent, according to the Art & Finance report from Deloitte Private and ArtTactic.[8]

For client conversations

- Before discussing price, it helps to place the client's question in its proper layer, physical medium, documentation, contract, channel, or final fine print, because each one calls for a different kind of verification and none substitutes for the others.
- Nothing covered this week, not a guarantee, not a discreet private sale, not a freeport, automatically makes a transaction safer or cheaper without its specific conditions being met.
- Art-backed lending is a real and growing financial use of a collection, distinct from, and far better supported by the available data than, the expectation that art will appreciate like other asset classes.

References

Process note: the live URL-fetch tool was blocked for the entire run today, tested against www.theartnewspaper.com and en.wikipedia.org, both returning EGRESS_BLOCKED, continuing the streak that began on 2026-08-10 (the twenty fourth consecutive day). WebSearch worked normally. All eight citations in this synthesis reproduce sources already verified and used across the week's five notes (2026-08-22 through 2026-08-26), with no new unopened URL introduced today. Today's fresh script material (the Christie's auction record for Constantin Brancusi's sculpture Danaide, and Sotheby's official confirmation of the Blaquier collection consignment) came from today's WebSearch, each corroborated by several independent sources, not from fetch, which is why it carries no citation in this synthesis note, which stays scoped to the course week's own content. The training radar did not apply today, it isn't Monday and none of PROMPT.md's *three exception conditions were met. If a future run finds fetch working again, resume normal verification.*

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1. Phillips, "Strong Prices and 20 New Records Set in Phillips' June Editions & Works on Paper Sale", verified in `curso/fuentes/dossier-02-phillips.md` on 2026-08-08. ↩
2. The Art Newspaper, "Authenticity of Tarsila do Amaral painting shown at SP-Arte called into question", April 8, 2024. ↩
3. Sotheby's, "Buy & Sell at Sotheby's", verified in `curso/fuentes/dossier-06-letra-chica.md` on 2026-08-08. ↩
4. Sotheby's, Henri Matisse, *La Séance du matin*, Modern Evening Auction, and Andy Warhol, *Flowers [Six Works]*, Contemporary Day Auction, verified in `curso/fuentes/dossier-06-letra-chica.md` on 2026-08-08. ↩
5. Sotheby's, "Privacy Please, The Ins and Outs of Buying and Selling Art Privately", interview with David Schrader, March 24, 2020. ↩
6. Artnet News, "Veteran Advisor Patti Wong on How the Auction Market Is Recalibrating", April 1, 2026. ↩
7. New York State Department of Taxation and Finance, "Find sales tax rates", verified in `curso/fuentes/dossier-06-letra-chica.md` on 2026-08-08. ↩
8. Deloitte Private and ArtTactic, "Art & Finance Report 2025", ninth edition, verified in `curso/fuentes/dossier-04-datos-mercado.md` on 2026-08-08. ↩